Axon Enterprise (AXON): Buy

Analyst: Justin Wen

A full sum-of-the-parts on the connected law-enforcement ecosystem. Our base case is $609.50 on a 10-year DCF with a 33% terminal EBIT margin, 49% upside from $408.42. The Flock backlash is a $350M-$500M revenue haircut on a $29.5B 2036 base: a vendor-swap event, not a TAM collapse.

Buy	$609.50	$408.42	+49%
RATING	BASE TARGET (BLENDED $571.79)	SPOT (OCT 14, 2026)	UPSIDE TO BASE

$288.89 / $779.28	10.23%	$3.7B / 32-34%	126%	$1.6B / +39%	$15.1B
BEAR / BULL TARGETS	LIVE WACC	2026E REVENUE / GROWTH GUIDE	RECORD NET REVENUE RETENTION	ARR, ACCELERATING	FUTURE CONTRACTED BOOKINGS

Executive summary

We rate Axon Enterprise **Buy** with a $609.50 base-case target (probability-weighted blended target $571.79), implying 49% upside from $408.42. Our framework is a 10-year discounted cash flow at a 10.23% live discount rate (beta decaying from 1.44 to 0.88, the mature peer Motorola Solutions, over the forecast; spot 10-year Treasury near 5.2%), with Bear $288.89 and Bull $779.28 bracketing the outcomes at 25% / 50% / 25% weights.

The DCF scenarios model Axon's 2036 revenue top-down at $18.0B Bear / $26.3B Base / $30.3B Bull. This note decomposes the growth engine bottom-up into its separate drivers, each with its own 2036 revenue and EBITDA contribution, so the business can be checked from the parts as well as the whole. The parts sum to $29.5B to $29.9B in 2036 revenue with $10.4B to $12.0B in EBITDA, landing just shy of the Bull-case target. The shortfall is the Flock-backlash deficit we quantify on page 4: the Bull case now demands the high end of every driver.

> **Our read:** the bull evidence in four quarters of transcripts is about the durability of growth (126% NRR, ARR compounding at 39%, 30%+ revenue growth for 10+ straight quarters); the bear evidence is about the price paid for it (margin compression, flat EBITDA margin guidance, $590M-$620M of stock comp). The DCF prices the tension: a 33% terminal EBIT margin demanding the software mix shift the bull case describes, against ~105.7M terminal shares capturing the dilution the bear case flags. At 49% base upside with the bear case only 29% below spot, the asymmetry favors owning it.

Base-case DCF assumptions

ASSUMPTION	BASE CASE
2026E revenue	$3.7B
Revenue growth, years 1-3	35% / 34% / 33%
Revenue growth fade	Linear fade to 5% by 2036
2036 revenue	$26.3B
Terminal EBIT margin	33.0%
Terminal growth rate	3.5%
Exit EV/EBITDA multiple	18x
Terminal value method	Average of Gordon growth and exit multiple
Discount rate	~10.2% (live CAPM, beta decay 1.44 to 0.88)

Targets use prevailing market inputs of approximately 1.44 beta and a 5.2% 10-year Treasury yield. The companion workbook pulls price, beta and Treasury yield through live feeds; valuation outputs update as those inputs move. Probability weighting (25% Bull / 50% Base / 25% Bear) replaces false precision: the default weights make Base the central thesis with symmetric tails.

Why 33% is a demanding but defensible terminal margin

Even an 80% software / 20% hardware revenue mix does not support the former 45% terminal EBIT assumption. At an optimistic 80% software gross margin and 45% hardware gross margin, the blended gross margin is approximately 73%.

Achieving a 45.2% EBIT margin from that gross-margin pool would cap total operating expenses at just 27.8% of revenue. That is difficult to reconcile with Axon's fragmented government customer base, lengthy procurement and compliance processes, and continued investment in TASERs, body cameras, drones and counter-unmanned aircraft systems.

> **Margin bridge:** 80% software x 80% GM = 64.0% | 20% hardware x 45% GM = 9.0% | **Blended gross margin = 73.0%** | 73.0% GM minus 33% EBIT = 40.0% OpEx, a credible envelope for a scaled SaaS platform with a hardware tail.

For context, pure-software leaders frame the ceiling: Microsoft sustains roughly 43%-45% EBIT margins, while Adobe has historically been closer to 34%. A nearer peer, Motorola Solutions, runs 24.9% to 25.8% GAAP operating margins (about 32.9% non-GAAP), landing almost exactly on our 33% assumption. A 33% terminal EBIT margin therefore represents elite software-level execution after a successful mix shift; the 26.5% Bear assumption is closer to management's long-term profitability targets.

The model no longer protects a target

Each scenario's long-run free cash flow margin equals its own modeled year-10 result. Discount rates use live beta and Treasury inputs; terminal value averages Gordon-growth and EV/EBITDA methods. Working capital is reshaped into a SaaS tailwind: the chained-growth working-capital drain is replaced with a revenue-linked fade that flattens as software mix scales, turning into a modest deferred-revenue tailwind by 2036. The perpetual growth rate sits at 3.5% in the Base and Bull cases (2.5% in Bear); the revenue fade is decoupled, so year-10 revenue is unchanged.

What would move the blended target

Upside drivers

- Software mix shifts faster than modeled.
- Operating leverage sustains margins above 33%.
- Exit multiples re-rate as recurring revenue expands.
- Dedrone scales toward $3B-plus revenue and a $1B-plus EBITDA contribution.

Downside risks

- Hardware margins compress, including tariff pressure.
- Public-safety budgets grow more slowly.
- Shareholder dilution reduces per-share value (see page 10).
- The Flock backlash spreads from ALPR to adjacent surveillance categories.

> **Methodology note:** current indicated targets use prevailing market inputs of approximately 1.44 beta and a 5.2% 10-year Treasury yield, producing a discount rate near 10.2%. The companion workbook pulls price, beta and Treasury yield through live feeds; valuation outputs therefore update as those inputs move. Yellow input cells allow direct stress-testing. This memo presents a valuation framework for discussion purposes.

Justin Wen

Bull vs bear: what four quarters of transcripts support

Analyst: Justin Wen

We read four quarters of transcripts (Q3 2025 through Q2 2026). The same quarters contain an honest bull case and an honest bear case, in management's own numbers.

What supports the bull case

- **Record 126% net revenue retention,** more than 20 consecutive quarters at or above 120%: the installed base keeps spending more through tier upgrades and seat expansions.
- **ARR accelerated from $1.3B (+35%) to $1.6B (+39%)** on a larger base: the recurring engine is compounding faster, not maturing.
- **Revenue growth above 30% for 10+ straight quarters** ($797M to $904M); 5-year normalized bookings grew above 30% with future contracted bookings up 41%.
- **Enterprise bookings tripled** with three nine-figure deals, and Axon was named to a $1.5B DHS counter-UAS program: a beachhead into defense spending.
- **New products contributing:** Draft One gaining international traction as an ARPU driver, TASER 10 momentum, and Outpost/Lightpost at a $100M run-rate.

What supports the bear case

- **Margin compression:** Q2 2026 revenue grew 35.3% but GAAP diluted EPS fell roughly 21% to $0.36, with R&D up 28.4% and SG&A up 20.1%.
- **Flat margin guidance:** management raised 2026 revenue guidance to 32%-34% but held adjusted EBITDA margin at roughly 25.5%; Q3 margins step down on memory and component costs.
- **Bookings decelerated from above 50% to 20%** unadjusted, just as a new "normalized (5-year) bookings" metric was introduced.
- **Growth leans on lower-margin hardware:** Dedrone, the lowest-gross-margin device line, passed $100M in quarterly revenue on event-driven demand.
- **$590M to $620M of 2026 stock comp** (roughly 16%-17% of sales) with up to 2.5% annual dilution; a forward P/E above 54x leaves no room for error.

Bookings: lumpiness or deteriorating momentum?

Our answer: lumpiness. The 20% Q2 2026 gross bookings print looks alarming against the roughly 50% prior-year comp, but two mechanics explain it. First, base effect: compounding 50% growth on an inflated base is mathematically punishing. Second, duration mix: unadjusted bookings count total contract dollars regardless of length, and Axon is signing more long-duration international defense deals (spiking the signing quarter) alongside shorter initial commercial terms (depressing the headline on identical annual revenue).

The metrics that would crack under real deterioration are doing the opposite: ARR growth accelerated to 39% ($1.6B), a figure immune to duration noise by construction; NRR hit a record 126%, the fastest existing-customer expansion in company history; future contracted bookings grew more than 40% to $15.1B; and management raised 2026 revenue guidance to 32%-34%, not the behavior of a team watching demand fade.

The bear caveat stands. Introducing the five-year normalized bookings metric (roughly 30%) in the same quarter the headline decelerated is a classic smoothing tactic and deserves skepticism. But while ARR compounds near 40% with NRR above 120%, the 20% print reads as contract math, not a demand breakdown.

> **Post-quarter confirmation.** At the September Goldman Sachs Communacopia conference, management guided normalized bookings to 30%+ with future contracted bookings growing well above that, implying lengthening durations on top of rising annual spend: backlog visibility supporting our outer-year fade, not a reason to raise near-term growth.

Our read. The bull evidence is about the durability of growth; the bear evidence is about the price paid for it. The DCF prices the tension: a 33% terminal EBIT margin demanding the software mix shift the bull case describes, against ~105.7M terminal shares capturing the dilution the bear case flags.

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Operating cash flow: the 2024 surge and the 2025 step-back

Analyst: Justin Wen

Operating cash flow hit a record $408.3M in 2024, then fell 48% to $211.3M in 2025 even as revenue crossed $2.8B; free cash flow dropped 77% to $75.1M. The step-back is working capital funding the scale-up, not demand weakness.

What drove the 2024 surge

- **High-margin cloud software.** Cloud & Services grew more than 40% with gross margins above 80%; incremental software revenue converted to cash efficiently.
- **AI upsells.** Draft One adoption pulled agencies into premium Officer Safety Plan bundles, lifting ARPU on the existing installed base.
- **Upfront subscription cash.** Multi-year bundles frequently collect the first year upfront, so large signings arrive as operating cash and deferred revenue ahead of service delivery.
- **Hardware at scale.** TASER 10 and Body 4 reached full manufacturing scale; volume growth plus per-unit cost declines expanded gross profit dollars.
- **Enterprise and international.** Bookings moved beyond US local law enforcement into enterprise and international markets, and the Fusus acquisition widened the addressable base.

Why 2025 stepped back

The decline was not churn or pricing pressure. Management attributed the compression to the working capital cost of scaling:

- **Inventory.** Aggressive hardware builds (TASER 10, Body 4, counter-drone) to service a $14.4B contracted backlog tied up cash on the balance sheet before delivery and collection.
- **Receivables timing.** Larger enterprise and international deals stretched collection cycles; Q4 2025 alone included three nine-figure contracts whose cash arrived after the period.
- **Operating investment.** Headcount and R&D rose to fund the AI Era Plan, Body Mini and 911-dispatch acquisitions, with R&D at 23.1% of revenue and SG&A at 32.2% in Q2, even as software gross margins stayed above 80%.

> **Our read: reinvestment, not deterioration.** A demand breakdown would show up in ARR, net revenue retention and bookings first, and those metrics (page 3) point the other way. The cash-flow tell to watch is inventory turns and days sales outstanding: normalization as the backlog converts makes 2025 a one-time working-capital step-up, while continued climbing would mean the hardware scale-up is structurally more cash-hungry than the model assumes.

2027 tailwind: memory cost pass-through

Micron's September 2026 print confirmed sustained DRAM and NAND pricing power: 87% gross margins, FQ1 FY2027 revenue guidance of $60-63B (midpoint roughly 8% above consensus), a ~86.25% gross margin guide framed as the fiscal 2027 floor with expansion through the year, and memory supply guided much tighter through fiscal 2028. Axon management already flagged the exposure: on the Q2 call, the CFO said third-quarter margins would absorb higher memory costs. In our view Axon turns this headwind into a tailwind for 2027. Rather than hiking raw hardware prices into municipal budget scrutiny, Axon can pass costs through premium upgrade bundles, and that pass-through lands in reported Software & Services growth, flattering AI Era Plan comps that already grew nearly 700% year over year in Q2.

Justin Wen

Sum of the parts: Axon's separate growth drivers

Analyst: Justin Wen

The DCF scenarios model Axon's 2036 revenue top-down at $18.0B Bear / $26.3B Base / $30.3B Bull. This section decomposes the growth engine into its separate drivers, each with its own 2036 revenue and EBITDA contribution, so the business can be checked from the bottom up as a sum of its parts.

Driver 1: Dedrone (counter-drone)

Dedrone surpassed $100 million in revenue in Q2 2026 alone, growing roughly 300% year-over-year, and is exiting 2026 at an annualized run-rate of approximately $450 million. Together, Fusus and Dedrone have already booked 1.5x their combined purchase price within 18 to 24 months, with Platform Solutions revenue up 123%. Two independent approaches converge on $3.4B to $3.8B in 2036 revenue.

APPROACH	KEY INPUTS	2036 REVENUE
Market share	$25B global C-UAS market by 2036; share expands to 15% through Axon's government distribution	$3.75B
Decaying CAGR	$450M baseline; 30% annually through 2030, decelerating to 18% from 2031 to 2036	$3.45B

The moat is the DedroneTracker AI platform, a sensor-agnostic software dashboard. As recurring revenue compounds past $3 billion in sales, a 30% to 35% EBITDA margin is reasonable for a mature software-heavy defense subsidiary, yielding $1.02B to $1.33B in 2036 EBITDA (30% x $3.4B = $1.02B; 35% x $3.8B = $1.33B). Over $1 billion in standalone EBITDA would make Dedrone one of Axon's most accretive acquisitions, justifying the premium multiple Axon trades at today.

Driver 2: Mass surveillance (RTCC + ALPR)

Axon's Real-Time Crime Center integration via Fusus and its expanding Automatic License Plate Recognition footprint are now projected to generate roughly $1.3B in 2036 revenue and $450M to $490M in EBITDA, after pricing in the Flock-backlash drag quantified below. To get there, Axon must bridge its mobile-heavy ALPR network (Fleet 3 in-car systems) into the fixed-infrastructure market of solar-powered light posts and neighborhood outposts, currently dominated by Flock Safety and Motorola Solutions.

The 2036 revenue path

Today's revenue is driven by Fleet 3 in-car cameras, which turn every cruiser into a roaming ALPR node, and the Fusus platform, which aggregates third-party CCTV feeds. The next leg is fixed hardware: proprietary "Axon Outposts," solar-powered fixed-pole ALPR and audio-detection cameras for intersections, retail centers and highway off-ramps, competing directly with Flock's decentralized model and opening budgetary buckets (homeowner associations, private commercial real estate) that do not buy body cameras today.

The math, repriced for the backlash: from a $175M baseline (the midpoint of the $150M-$200M 2026 estimate), the original 25% CAGR compounded over ten years to ~$1.63B by 2036. At the new 22% midpoint CAGR, the same baseline reaches only ~$1.28B. The Flock backlash and the resulting bureaucratic friction therefore create a "missing" $350M to $500M in 2036 top-line revenue for this segment. Municipal budgets are still shifting from physical patrols to automated surveillance, but every new outpost now faces longer, costlier procurement.

> **Minimal impact on terminal value.** In valuation terms this gap is small: $350M to $500M is roughly 1-2% of the $29.5B to $29.9B 2036 revenue base, and the segment itself is only about 4% of that base. The backlash reprices Flock's growth story; on Axon's terminal value it is immaterial, before counting the share Axon recaptures as councils switch vendors.

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Driver 2, continued: the margin engine

The physical outposts run at standard 40% to 50% hardware gross margins, but they are data-ingestion nodes. Every captured plate flows into Fusus for real-time tracking, Evidence.com for CJIS-compliant storage, and Axon APIs for hotlist matching, software components at Axon's >80% gross margin. As the software mix outpaces deployment costs, the division should sustain a 35% to 38% EBITDA margin: up to roughly $490M on a $1.28B top line.

The moat: owning the perimeter and the nervous system. Flock Safety owns the physical poles and Motorola owns the dispatch center, but Axon is the only company positioned to merge fixed ALPR tracking with the body-worn cameras of the officers responding to the scene, locking out competitors at both layers.

Regulatory lens: the Flock backlash is a vendor swap

The national backlash against Flock Safety reads as a vendor consolidation event, not a TAM collapse. The ACLU and local privacy advocates have pressured dozens of councils, from Bellingham, Washington to towns across Wisconsin, to cancel or let Flock contracts lapse, but municipalities rarely abandon the technology; they change brands. Denver let its Flock contract expire over data-sharing concerns, then immediately approved a new ALPR contract with Axon, which markets Evidence.com as a secure, locally controlled, CJIS-compliant alternative to a "national dragnet" database.

Where growth does slow is procurement speed. Governors in Florida and Texas have moved to revoke ALPR permits on state highways or block state funding of Flock networks, and Pennsylvania is drafting ALPR data-retention rules. The frictionless hyper-growth era is over; every new outpost faces bureaucratic scrutiny. The practical effect is a haircut to the surveillance CAGR from our pre-backlash 25% to a 20-24% range (22% midpoint), achieved at higher cost: more lobbying, policy compliance and local legal spend to push contracts through hesitant councils. That haircut is the $350M-$500M revenue gap quantified on the previous page. Flock's hyper-growth narrative is the casualty; Axon and Motorola absorb its lost share. Net-net, we frame the backlash as a Flock problem rather than an Axon terminal-value problem: procurement slows, but the dollars largely stay in the category and consolidate toward compliant vendors.

The $290B video surveillance market: competitive landscape

Industry consensus puts the global video surveillance TAM at approximately $290.4B by 2036, compounding at 12.1% to 13.5% from an estimated $68.5B to $95.0B base in 2026. Three competitors lead the real-time-intelligence sub-sector:

- **Motorola Solutions: the traditional heavyweight.** Through massive acquisitions (Avigilon, Pelco, Vigilant Solutions), Motorola commands a huge share of fixed enterprise surveillance and ALPR databases, integrated directly into its legacy 911 dispatch and CommandCentral networks.
- **Axon: the ecosystem aggregator.** The Fusus acquisition let Axon tap the broader fixed-camera TAM without building it. Fusus acts as a central nervous system, aggregating feeds from private enterprise cameras, municipal CCTV and drones into a single operational dashboard inside Evidence.com.
- **Flock Safety: the aggressive disruptor.** Flock built a massive decentralized nationwide network of solar-powered ALPR and audio-detection sensors. Its ubiquity and data-retention practices are exactly what sparked the civil-liberties scrutiny now repricing the whole segment's growth.

What compounds the TAM at 12%+ through 2036: the transition from passive recording to active machine learning (cameras searching for anomalies in real time), cloud-based storage (VSaaS) shifting spend from local servers to sticky recurring software revenue, and public-private integration linking retail, hospital and HOA cameras directly into law-enforcement RTCCs.

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The core franchise: $24.8B at software margins

Analyst: Justin Wen

Based on the mature $30.3B projection model, Axon's revenue mix flips to 80% software and 20% hardware by 2036, a structural inversion from the Q1 2026 baseline of $807M in quarterly revenue split roughly 44% Software & Services ($355M) and 56% Connected Devices.

The pivot is already visible: Software & Services grew 40% year-over-year in Q4 2025 while hardware gross margins contracted on product mix and tariffs. Three dynamics drive the flip:

- **Software compounding and AI growth.** Hardware sales are discrete; cloud storage (Evidence.com) and AI tools are recurring and compounding. In early 2026, AI Era Plan product revenue (including Draft One) grew over 700% year-over-year on bookings up 140%, with nearly all large domestic agencies now folding AI into their technology stacks, and as these SaaS tools stack onto every hardware deployment, software revenue eclipses device sales.
- **Hardware as the Trojan horse.** By 2036, body cameras and ALPR outposts serve primarily as data ingestion nodes, locking municipalities into long-term cloud storage and Real-Time Crime Center contracts.
- **Margin expansion focus.** Supply chain constraints, tariffs, and manufacturing costs suppress Connected Devices gross margins to roughly 48.7%, though the Q2 print reached 51.9% on tariff refunds and Dedrone mix, against Software & Services margins of 71-75% (software-only above 80%). Reaching the 33% terminal operating margin requires scaling software and cloud services, where gross margins already consistently exceed 80%.

Bridging to the 2028 target

Axon targets roughly $6B in 2028 revenue at a 28% adjusted EBITDA margin, up from about $3.7B implied by the raised 2026 guidance of 32-34% growth. That bridge needs roughly 27% annual growth, and routing hardware refreshes through AI Era Plan bundles puts a high, contracted floor under 2027 top-line growth. The market values Axon as a software ecosystem at a mid-teens price-to-sales multiple, not as a camera manufacturer. A standalone camera price hike to cover component inflation would read as hardware margin compression; the same dollars routed through premium tiers read as AI software adoption.

AI Era Plan contracts run on typical five-year terms. Every agency that signs in 2027 for Body 4 hardware plus Draft One and Axon Assistant locks in the higher pricing tier for the contract life, making the 2027 revenue step durable and predictable against $15.1B in future contracted bookings. The lift is price rather than volume, but it is real top-line dollars arriving with software gross margins attached.

The three core verticals

Evidence.com & Axon Cloud (the profit engine) ACCELERATING

By 2036, Axon is valued almost entirely as a global SaaS and AI data management firm. Evidence.com and extreme-growth AI tools like Draft One, which automates police report writing, dominate the revenue mix. Cloud infrastructure and AI software scale with near-zero marginal cost per additional user, pulling company-wide profitability upward; a terminal EBITDA margin of 40% to 45% aligns with mature tier-one enterprise SaaS. Estimated 2036: $18.5B revenue, $7.40B-$8.30B EBITDA.

TASER (the legacy monopoly) STABLE

The TASER segment, currently driven by the TASER 10 cycle, remains a highly defensible, slow-growth cash cow on a "razor and blades" model: agencies continuously purchase proprietary cartridges and training subscriptions. With virtually zero competition in conducted energy weapons, Axon keeps supreme pricing power and a robust 30% to 35% EBITDA margin. Estimated 2036: $4.0B revenue, $1.20B-$1.40B EBITDA.

Body Cameras & Personal Sensors (the loss leader) COMMODITIZING

By 2036, physical body cameras are heavily commoditized. Axon's strategy is not to profit off the plastic. Sold cheaply or bundled into subscriptions, the cameras funnel municipal footage into Evidence.com. Manufacturing costs, component lifecycles, and tariffs hold this division to a 15% to 20% EBITDA margin, purely a gateway to high-margin cloud revenue. Estimated 2036: $2.3B revenue, $345M-$460M EBITDA.

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Full sum of the parts: $29.5B to $29.9B

Analyst: Justin Wen

Bringing every segment together, the bottom-up parts sum to $29.5B to $29.9B in 2036 revenue, landing just shy of the $30.28B Bull-case target, with $10.4B to $12.0B in 2036 EBITDA.

SEGMENT	2036 REVENUE	2036 EBITDA
Dedrone (counter-drone)	$3.4B - $3.8B	$1.02B - $1.33B
Mass surveillance (RTCC + ALPR)	~$1.28B	$0.45B - $0.49B
Evidence.com & Cloud SaaS	$18.5B	$7.40B - $8.30B
TASER (Weapons & Cartridges)	$4.0B	$1.20B - $1.40B
Body Cameras & Sensors	$2.3B	$0.35B - $0.46B
Sum of the parts	**$29.5B - $29.9B**	**$10.4B - $12.0B**

The reconciliation closes, with the backlash priced in. The bottom-up revenue range lands just shy of the $30.28B Bull-case target, and the shortfall is the $350M-$500M Flock-backlash deficit: the Bull case now demands the high end of every driver. The $10.4B low end of the SOTP EBITDA range still sits above the model's ~$10B-plus terminal EBIT output, as it should: EBITDA runs ahead of EBIT by D&A. The segment mix explains the economics: an 80/20 software-to-hardware revenue profile supporting terminal margins a hardware business could never carry, which is what underwrites the $571.79 blended target.

The two growth drivers, combined

DRIVER	2036 REVENUE	2036 EBITDA
1. Dedrone (counter-drone)	$3.4B - $3.8B	$1.02B - $1.33B
2. Mass surveillance (RTCC + ALPR)	~$1.28B	$0.45B - $0.49B
Combined growth drivers	**$4.7B - $5.1B**	**$1.47B - $1.82B**

The two growth drivers account for roughly $5B of the $30.28B Bull-case 2036 target. The ~$24.8B from Axon's core legacy verticals follows the established compounding of the installed base: Evidence.com at SaaS margins, TASER as the pricing-power cash cow, and body cameras as the ingestion gateway.

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The bull case: earning a re-rating

Analyst: Justin Wen

Axon already trades at a premium multiple. A further re-rating to our $779.28 bull case has to be earned through compounding fundamental execution, not broad market expansion. We see three requirements.

1. GAAP profitability and SBC discipline

- **Aggressive SBC tapering.** The market is heavily penalizing the projected $590M to $620M in 2026 stock-based compensation. Earning a higher multiple requires a multi-year framework that dramatically reduces SBC as a percentage of revenue, driving true GAAP EPS growth rather than reliance on non-GAAP adjusted earnings.
- **Demonstrable operating leverage.** R&D and SG&A, which surged more than 20% in mid-2026, need to plateau. Investors must see revenue growth firmly decoupling from operating expenses to prove the software model scales efficiently.

2. Margin re-expansion via software mix

- **High-margin cloud dominance.** Recent growth has been dragged down by lower-margin hardware deployments such as Dedrone. To reclaim a premium SaaS multiple, high-margin cloud revenue (Axon Cloud, Evidence.com) must aggressively outpace hardware growth, pulling corporate gross margins back into the mid-to-high 60% range.
- **AI monetization.** Generative AI features, led by the Draft One report-writing tool, must evolve from novel feature to ARPU driver. A re-rating requires proof that agencies are universally upgrading to premium software tiers specifically to access these AI efficiencies.

3. Re-accelerating unadjusted bookings

- **Sustained bookings momentum.** The deceleration of unadjusted gross bookings to 20% year over year in Q2 2026 broke the hyper-growth narrative. Axon must string together multiple quarters of re-accelerating absolute bookings growth, back above the 30% threshold, without leaning on "normalized" or heavily adjusted metrics.
- **Sticky federal and international wins.** The company must show recent revenue spikes are not one-off, event-driven hardware sales. That means massive, recurring, multi-year software contracts across the U.S. federal government and international defense sectors.

> **How we use this.** This is the fundamental checklist behind any upside case from here. Each pillar maps to a model lever: SBC discipline and operating leverage govern the FCF margin path, software mix governs the terminal margin, and bookings govern the revenue fade. Until all three are firing, a re-rating remains a possibility, not a base case.

Bull-case math: $779.28

The Bull case models 2036 revenue at $30.3B with the high end of every SOTP driver firing: Dedrone at $3.8B, surveillance fully recapturing Flock's lost share, and the core franchise compounding at the top of its range. Terminal EBIT margin reaches 36% on a faster software mix shift, and the exit multiple holds at 20x on premium SaaS comps. Discounted at the same 10.23% live WACC, the equity is worth $779.28 per share, 91% above spot.

Justin Wen

Bear case: $288.89 BACKLASH METASTASIZES

The Bear case ($288.89, 29% below spot) models the transcript bear evidence compounding: the Flock backlash spreads from ALPR into adjacent surveillance categories, procurement freezes extend from quarters to years, and Axon's fixed-outpost buildout stalls. Dedrone's event-driven demand proves lumpy rather than recurring, and the counter-drone TAM consolidates around defense primes rather than a law-enforcement software vendor.

- **Revenue deceleration with teeth.** 2036 revenue reaches only $18.0B as the bookings deceleration proves structural: duration mix was masking a real slowdown in annual contract values, and the five-year normalized metric was management smoothing a genuine fade.
- **Margin compression persists.** Terminal EBIT margin settles at 26.5%, near management's long-term targets rather than software-peer levels. Hardware mix never inverts: Dedrone and body cameras stay a larger share of the mix, tariffs bite, and memory costs cannot be fully passed through.
- **Dilution compounds.** SBC stays elevated at 12%+ of revenue and annual dilution runs at the high end of the 2.5% guide, so per-share value leaks even as the enterprise grows.
- **Multiple compression.** The market re-rates Axon from a software ecosystem to a hardware-heavy government contractor: exit EV/EBITDA compresses to 12x and the terminal growth rate drops to 2.5%.

Verdict

We rate AXON Buy. The base case ($609.50) offers 49% upside against a bear case only 29% below spot: the asymmetry is favorable because the market is pricing in below-base-case growth while the transcript evidence (126% NRR, 39% ARR growth, $15.1B in contracted bookings) supports the durability of the compounding engine. The bear evidence is real, particularly SBC dilution and the bookings deceleration, but it is about the price paid for growth rather than growth itself. The Flock backlash, the sharpest near-term risk, quantifies to a $350M-$500M revenue haircut on a $29.5B 2036 base: immaterial to terminal value and partly recaptured as councils switch vendors to Axon. We would turn cautious if ARR growth decelerates below 25% or if SBC fails to taper as a percentage of revenue over the next two years.

Key themes

1. Evidence.com compounding is the profit engine ACCELERATING

ARR accelerated from $1.3B (+35%) to $1.6B (+39%) on a larger base; Draft One AI report-writing is pulling agencies into premium tiers at 700%+ product revenue growth. Software-only gross margins remain above 80%.

2. The Flock backlash is quantified and contained STABLE

$350M-$500M of 2036 surveillance revenue at risk from slower procurement, roughly 1-2% of the 2036 base. Denver's vendor swap to Axon is the template: the dollars stay in the category and consolidate toward compliant vendors.

3. Dedrone is the wildcard ACCELERATING

$100M+ quarterly revenue at ~300% growth, $450M annualized run-rate exiting 2026, named to a $1.5B DHS counter-UAS program. The question is recurrence: event-driven hardware spikes versus durable software-like contracts.

4. TASER remains the moat STABLE

Near-monopoly in conducted energy weapons with razor-and-blades cartridge economics; 30-35% EBITDA margins fund the ecosystem buildout.

5. Budgets have proven resilient STABLE

Law-enforcement technology budgets held through prior cycles; enterprise and international diversification (Fusus, DHS program) reduces dependence on US municipal budgets.

Other KPIs

METRIC	VALUE
Market cap (at $408.42)	~$33.7B
Q2 2026 revenue / YoY	$904M / +35.3%
Q2 GAAP diluted EPS / YoY	$0.36 / -21%
Net revenue retention	126% (record)
ARR / growth	$1.6B / +39%
Future contracted bookings	$15.1B (+40%+)
2026 SBC guide	$590M - $620M (~16-17% of sales)
2026 adjusted EBITDA margin guide	~25.5% (held flat)
Q3 FY2026 consensus EPS	$1.94 (17 analysts, down-revision trend)
FY2026 consensus EPS	$7.65 (20 analysts)

Guidance and watch items

Q3 2026 earnings are due November 3. Management raised 2026 revenue guidance to 32%-34% growth while holding adjusted EBITDA margin at roughly 25.5%; Q3 margins are guided to step down on memory and component costs.

- **Gross bookings scan.** Every Axon print is scanned for the gross bookings figure, its year-over-year change, and management commentary. Watch whether unadjusted bookings re-accelerate above 30% or whether the "normalized" metric does more smoothing work.
- **Retention and NRR.** The 126% record is the single most important demand-health metric; any step-down below 120% would challenge the compounding thesis.
- **Dedrone recurrence.** Is the $100M+ quarterly print converting into multi-year program revenue (DHS counter-UAS) or remaining event-driven?
- **ALPR vendor swaps.** Track municipal contract awards: each Flock-to-Axon conversion validates the vendor-swap framing of the backlash.
- **SBC trajectory.** Any framework for tapering $590M-$620M of stock comp as a percentage of revenue is a re-rating catalyst.

Reverse DCF: what the market is pricing in

At $408.42, the market is pricing in below-base-case growth. Our reverse DCF, holding the base-case FCF margin path flat and discounting at the live 10.23% WACC, implies the market is discounting roughly a 20-22% five-year revenue CAGR, well short of the ~30% CAGR our base case requires to reach $26.3B by 2036 and further still from the bull case. The verdict line: the market is pricing in a below-base-case outcome; moderate-to-significant upside to the $609.50 base target if the transcript evidence (39% ARR growth, 126% NRR) proves the more durable signal.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~20-22%	$408.42 (spot)
Bull case	~32%	**$779.28**
Base case	~28%	**$609.50**
Bear case	~18%	**$288.89**

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Valuation risks

- **SBC dilution persists.** $590M-$620M of 2026 stock comp at ~16-17% of sales with up to 2.5% annual dilution; failure to taper leaks per-share value every year.
- **Bookings deceleration proves structural.** If the 20% print was demand fade rather than duration math, the revenue fade in our DCF is too shallow.
- **Hardware margins compress.** Tariffs, memory costs and Dedrone mix keep Connected Devices margins under 50%, delaying the software-mix inversion the 33% terminal margin requires.
- **Backlash spreads.** If ALPR procurement scrutiny extends to body cameras or real-time crime centers, the $350M-$500M haircut understates the drag.
- **Multiple compression.** A forward P/E above 54x leaves no room for error; any guide-down re-rates the equity faster than fundamentals deteriorate.
- **Public-safety budgets.** Municipal budget stress or federal grant cuts would hit the core franchise directly.

Tranche 7 of XSP: what the top payout requires

The final tranche of the 2024 Employee XSP and CEO Performance Award pays out at a $943.75 ninety-day VWAP, with an operational goal of $6,999M revenue or $1,706M adjusted EBITDA, expiring December 31, 2032. Growing into the operational goal needs only an 11.2% revenue CAGR. The hard part is the multiple.

EV/EBITDA	REVENUE NEEDED AT 24.4% MARGIN	REVENUE NEEDED AT 28% MARGIN	REVENUE NEEDED AT 33% MARGIN
20x	$18.0B	$15.7B	$13.3B
25x	$14.4B	$12.5B	$10.6B
30x	$12.0B	$10.5B	$8.9B
40x	$9.0B	$7.8B	$6.6B
50x	$7.2B	$6.3B	$5.3B

At the $1,706M EBITDA goal, $943.75 implies 51.4x EV/EBITDA and a $87.7B market cap. At a mature 25x multiple and the tranche's 24.4% margin, revenue would need to reach $14.4B, more than double the operational goal. Either Axon becomes a software/AI platform that earns its multiple (70%+ software mix, 30%+ margins), or revenue must overshoot the goal by a wide margin. The 90-day VWAP rule means the market must sustain $943.75, not merely touch it. Our $779.28 bull case sits below the tranche goal, which is consistent: the tranche demands a sustained premium multiple that we do not underwrite even in the upside scenario.

> **Model:** Full three-scenario 10-year detailed EBIT-bridge DCF with beta decay (1.44 to 0.88), live CAPM, reverse DCF, and market-implied ERP tab. Probability-weighted blended target $571.79 at 25% / 50% / 25% Bull / Base / Bear weights.

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